

Pension and Welfare Schemes - The Foundation Track

Chapter F3.9 — From Zero: APY, PM-SYM, NPS-Traders, PMJJBY, PMSBY, PM-JAY, and the ELI Routed Through EPFO

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NOTE · HOW TO USE THIS DOCUMENT

The delivery-side chapter. Having established in F3.1 the three architectures (insurance, assistance, universal), the four categories of instrument, and the coverage gap - and in F3.8 the aggregator device and the e-Shram identity rail - this chapter takes the schemes themselves. It works through the two pension schemes for the unorganised (Atal Pension Yojana and PM Shram Yogi Maan-Dhan), the pension scheme for traders (NPS-Traders), the two very low-premium insurance products (PM Jeevan Jyoti Bima Yojana at Rs 436 for life and PM Suraksha Bima Yojana at Rs 20 for accident), the flagship health assurance (PM-JAY under Ayushman Bharat at Rs 5 lakh a family a year), and the Employment Linked Incentive scheme routed through EPFO. Each scheme is presented as a triple of eligibility, contribution or premium, and benefit at 60 or on event, with the traps most often tested. The chapter closes on the National Social Assistance Programme pensions as the tax-financed assistance tier below all of these, and on the classification of every scheme under the F3.1 architectures. Study time 3 hours.

This is the FOUNDATION layer. Scheme names and their principal parameters (eligibility age range, contribution structure, benefit amount at 60 or on event) are settled. Precise annual premiums, updated scheme parameters and current enrolment figures change and are marked CONFIRM where relevant. The ELI parameters cited are as reported and adopted in Compact Module 3 v1.1; they are reported not Gazette-verified. Historic figures and current positions are printed as pairs where they differ.

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0. Why a Chapter of Schemes, Not Statutes

F3.2 through F3.6 taught the statutes. This chapter teaches the schemes people actually enrol in.

WHY THIS EXISTS · WHAT THE SCHEMES TOGETHER DELIVER

Recall from F3.1 the three delivery architectures: **social insurance** (contribution record), **social assistance** (need-based), **universal** (residence-based). The schemes in this chapter are almost entirely on the **first two rails** - subsidised contributory insurance for those who can pay something, and tax-financed assistance for those who cannot.

What the schemes together achieve, and this is the paper's angle:

- 1 **Two pension schemes** to answer contingency 4 (old age) for the unorganised - **APY** and **PM-SYM** - both with State co-contribution
- 2 **Two very cheap insurance products** for contingencies 5, 8 and 9 (injury, invalidity, survivors') - **PMSBY** at Rs 20 and **PMJJBY** at Rs 436
- 3 **One flagship health assurance** for contingency 1 (medical care) - **PM-JAY** at Rs 5 lakh per family per year
- 4 **One scheme that runs through EPFO's rails** - the **Employment Linked Incentive** for new employment

All of these are answers to the F3.1 policy question - how do you extend coverage to a workforce that cannot bear a 12 per cent payroll contribution? - and the honest evaluation of them is that they have the right SHAPE but modest SCALE. **PM-SYM's Rs 3,000 a month at 60 is a floor, not a decent retirement income. PMJJBY's Rs 2 lakh is a token life cover. And enrolment in every one of these voluntary schemes has been below the target population.** F3.1's warning about voluntary insurance markets applies here.

STUDY SESSION · CHAPTER F3.9 - THE FOUR SESSIONS

- 1 **Session 1 - Two pension schemes:** APY and PM-SYM (Section 1)
- 2 **Session 2 - NPS-Traders,** and the two very cheap insurance products (Section 2)
- 3 **Session 3 - PM-JAY** and the assistance tier (Section 3)
- 4 **Session 4 - ELI** through EPFO, and classification (Section 4)

Then **42 graded questions**. Budget **four sessions**, about **a day and a half**. This is a numbers chapter - the paper tests specific figures, not conceptual questions, so learn each scheme as a triple.

1. Session 1 - Two Pension Schemes ★★★★★

MUST MASTER · APY - ATAL PENSION YOJANA

The most widely enrolled subsidised pension scheme for the unorganised worker.

- 1 **Launched: 2015**, under the National Pension System framework
- 2 **Administered by: PFRDA** (Pension Fund Regulatory and Development Authority)
- 3 **Eligibility age: 18 to 40 years**. A subscriber must join before turning 41
- 4 **Contribution:** monthly, varying by the age of joining and the desired pension - lower for younger joiners
- 5 **Guaranteed pension at 60: Rs 1,000 / 2,000 / 3,000 / 4,000 / 5,000** per month, at the subscriber's choice
- 6 **On death:** the same pension continues to the spouse; on death of both, the corpus goes to nominees
- 7 **Withdrawal before 60:** normally not permitted except in exceptional circumstances
- 8 **Government co-contribution:** for those who joined before 31 March 2016 and were not tax-payers, the Central Government co-contributed 50% of subscriber's contribution or Rs 1,000 per year (whichever lower) for 5 years - **this window is now closed**

Note two changes from 2023:

- 1 **Income-tax payers were made ineligible to join APY from 1 October 2022.** The scheme is targeted at the non-taxpayer unorganised worker
- 2 **APY has continuous enrolment growth** and has become the government's largest voluntary pension scheme by count of subscribers (order of tens of crores; exact CONFIRM)

The 5-tier pension choice is the point most often tested. Rs 1,000 / 2,000 / 3,000 / 4,000 / 5,000 - five options, and the subscriber chooses. **The contribution required increases with (i) the pension tier chosen and (ii) the age at joining** - both of which is what the scheme's tables are structured around.

The one interview-quality summary sentence: APY is a defined-benefit pension scheme with subscriber-borne contributions and a State guarantee, i.e. the Government stands behind the promised pension even if the underlying corpus underperforms.

MUST MASTER · PM-SYM - PRADHAN MANTRI SHRAM YOGI MAAN-DHAN

The pension scheme specifically for the unorganised worker earning below the ESI wage ceiling.

- 1 **Launched: 2019**
- 2 **Administered by: LIC**
- 3 **Eligibility age: 18 to 40 years.** Same upper limit as APY
- 4 **Income eligibility:** monthly income of **up to Rs 15,000**
- 5 **Contribution structure: 50:50 matching** - the subscriber's monthly contribution is matched by the Central Government
- 6 **Contribution range:** from **Rs 55 per month** at age 18 to **Rs 200 per month** at age 40 (subscriber's side); the Government matches
- 7 **Pension at 60: Rs 3,000 per month**, single fixed tier
- 8 **On death after 60:** 50% family pension to spouse
- 9 **On death before 60:** spouse may continue by paying only the subscriber's share, and receive the pension at 60

Two questions worth knowing:

- 1 **What is the income eligibility?** Rs 15,000 per month or less - the same as the EPF ceiling, not accidentally
- 2 **What is the matching ratio? 50:50** - the subscriber and the Government put in equal amounts

Contrast with APY:

- 1 **APY** - subscriber-borne, State guarantee, choose from 5 pension tiers (Rs 1,000 to Rs 5,000)
- 2 **PM-SYM - 50:50 State matching**, single tier (Rs 3,000)

And with the EPS 1995: EPS is compulsory contributory for organised-sector workers, funded by the employer's diverted 8.33% plus Government's 1.16%, promising a formula-based pension after 10 years' service. **PM-SYM offers a guaranteed Rs 3,000 pension to a comparable low-earning worker who has NO employer to fund an EPS contribution** - the scheme fills exactly the gap F3.1 identified.

CHECK YOURSELF · SESSION 1

- 1 State APY's launch year, administrator, age range and 5-tier pension choice
- 2 Who cannot join APY from 1 October 2022?
- 3 State PM-SYM's launch year, administrator and income ceiling
- 4 What is the matching ratio in PM-SYM, and what is the fixed pension at 60?
- 5 Compare APY and PM-SYM in one sentence each
- 6 Which unorganised worker is PM-SYM designed to reach, that APY is not?

2. Session 2 - NPS-Traders and the Two Insurance Products ★★★★★

MUST MASTER · NPS-TRADERS - THE SMALL TRADER'S PENSION

The unorganised-sector pension scheme aimed at the small trader and shopkeeper.

- 1 **Formal name: National Pension Scheme for Traders and Self-Employed Persons**
- 2 **Launched: 2019** (same year as PM-SYM)
- 3 **Administered by: LIC**
- 4 **Eligibility:** any small trader whose **annual turnover** is **NOT more than Rs 1.5 crore**, aged **18 to 40**
- 5 **Contribution: 50:50 matching**, same as PM-SYM
- 6 **Pension at 60: Rs 3,000 per month**

In substance NPS-Traders is PM-SYM with a different eligibility test - turnover instead of wage. The other design elements are identical: 50:50 matching, 18-40 joining age, Rs 3,000 fixed pension at 60. **The distinction is who it targets:**

- 1 **PM-SYM:** unorganised worker earning up to Rs 15,000 a month
- 2 **NPS-Traders:** small trader with turnover up to Rs 1.5 crore

One paper trap worth naming. Do not confuse **NPS-Traders** with the general **NPS** (National Pension System). The general NPS is a fully-funded, defined-contribution pension for the general public and for Government employees (Central Government employees since 2004 are on NPS, not on the old defined-benefit pension). **NPS-Traders is a specific scheme within the broad NPS framework, with State matching, targeted at small traders.** A question asking "which is the pension scheme for small traders" has NPS-Traders as the answer; a question asking about the general Government employees' pension has NPS.

MUST MASTER · PMSBY - PRADHAN MANTRI SURAKSHA BIMA YOJANA

The Rs 20 accident cover. This may be the single cheapest insurance product in the world.

- 1 **Launched: 2015**
- 2 **Nature: accident insurance** - death or permanent disablement due to accident
- 3 **Eligibility: 18 to 70 years** (note the 70 - higher than most others), with an active bank account
- 4 **Annual premium: Rs 20**, auto-debited from the bank account
- 5 **Sum assured: Rs 2 lakh** on death or permanent total disablement from accident; **Rs 1 lakh** on permanent partial disablement
- 6 **Term:** annual, renewable each year, no fixed maturity

The single most examinable pair:

- 1 **PMSBY - Rs 20 premium, Rs 2 lakh cover, accident only**
- 2 **PMJJBY - Rs 436 premium, Rs 2 lakh cover, any cause of death** (life insurance)

The premium differential between Rs 20 and Rs 436 is exactly what you would expect from an actuarial standpoint - the probability of an accidental death is a small fraction of the probability of death from all causes, so an accident-only policy costs a small fraction of a life policy for the same sum assured. **PMSBY covers accidents only; PMJJBY covers death from any cause including illness and natural causes.**

MUST MASTER · PMJJBY - PRADHAN MANTRI JEEVAN JYOTI BIMA YOJANA

The Rs 436 life cover.

- 1 **Launched: 2015**
- 2 **Nature: term life insurance** - death from any cause
- 3 **Eligibility: 18 to 50 years**, with an active bank account
- 4 **Annual premium: Rs 436**, auto-debited (raised from Rs 330 in 2022; the older figure of Rs 330 sometimes still appears in older sources)
- 5 **Sum assured: Rs 2 lakh** on death from any cause
- 6 **Cover starts: 45 days after enrolment** for causes other than accident (the "lien period"); accidents are covered from day one
- 7 **Term:** annual, renewable

Two figures worth pairing with PMSBY:

- 1 Age range: **PMSBY 18-70, PMJJBY 18-50**. The PMSBY upper limit is higher because accident risk does not rise as steeply with age as does the overall mortality risk that PMJJBY insures
- 2 Premium: **Rs 20 vs Rs 436**. Two orders of magnitude difference, for the reason explained above

Both schemes together offer Rs 4 lakh cover for Rs 456 a year - a household paying Rs 456 covers itself against both accident and all-cause death, up to Rs 4 lakh in total. **This is the point about scale:** Rs 4 lakh is meaningful for a low-income household but modest by any middle-class standard. The schemes are floors, not ceilings.

CHECK YOURSELF · SESSION 2

- 1 Give NPS-Traders' turnover limit, age range and matching ratio
- 2 Distinguish NPS-Traders from the general NPS
- 3 State PMSBY's premium, sum assured, age range and what it covers
- 4 State PMJJBY's premium, sum assured, age range and what it covers
- 5 Why is PMJJBY's premium roughly 22 times PMSBY's?
- 6 Explain the difference in age range between PMSBY and PMJJBY
- 7 Both together provide how much cover for how much premium a year?

3. Session 3 - PM-JAY and the Assistance Tier



MUST MASTER · PM-JAY - AYUSHMAN BHARAT'S HEALTH ASSURANCE

The single largest social security programme by beneficiary count in Indian history, and probably in the world.

- 1 **Full name:** Pradhan Mantri Jan Arogya Yojana, part of Ayushman Bharat
- 2 **Launched:** 2018
- 3 **Nature:** health assurance - fully funded from taxation, no premium from beneficiary
- 4 **Eligibility:** identified through **Socio-Economic and Caste Census (SECC) 2011** deprivation criteria - approximately the poorest **40% of the population**, or around **10-12 crore families** (order of magnitude, exact CONFIRM)
- 5 **Benefit:** **Rs 5 lakh per family per year**, for **hospitalisation** including secondary and most tertiary care
- 6 **Coverage:** **cashless and paperless** treatment at empanelled public and private hospitals
- 7 **Funding:** entirely by the Central and State Governments in a **60:40 ratio** (90:10 for North-Eastern and Himalayan States, 100% for Union Territories without legislature)

Two frequently examined points:

- 1 **Rs 5 lakh per family per year** - the number to know. Not per person; per FAMILY per YEAR. And it renews each year
- 2 **This is health ASSURANCE, not insurance.** No premium from the beneficiary. So in the F3.1 taxonomy PM-JAY is **social assistance**, not social insurance - it is tax-financed on the Beveridge model, even though India is otherwise Bismarckian. **This is India's largest Beveridge-shaped programme, and the answer to "which scheme is tax-financed rather than contributory" in this territory is PM-JAY**

Contrast with ESI:

- 1 **ESI:** contributory (4% of wages), covers a limited population (Rs 21,000 wage ceiling, in an ESI-notified area), medical benefit in kind AND cash sickness benefit
- 2 **PM-JAY:** tax-financed, covers the poorest 40%, hospitalisation only, up to Rs 5 lakh

They serve DIFFERENT populations - PM-JAY catches those below the ESI net, both being unlikely to have both. A worker covered by ESI is unlikely to be in the SECC deprivation cohort; a beneficiary of PM-JAY is unlikely to have an ESI-covered formal job. **So the two schemes are complementary, not competing.**

Note the extension: Ayushman Bharat also includes HEALTH AND WELLNESS CENTRES - primary healthcare infrastructure at the Panchayat level for basic care and screening. This is separate from the PM-JAY hospitalisation benefit but is part of the same overall Ayushman Bharat mission.

MUST MASTER · THE NSAP PENSIONS - THE ASSISTANCE TIER

For those whose need is greatest, and where insurance is not the answer, there is the **National Social Assistance Programme (NSAP)**, umbrella scheme of Central Government direct transfers.

Three pensions under NSAP, and the paper occasionally tests them:

- 1 **Indira Gandhi National Old Age Pension Scheme (IGNOAPS)** - for **BPL persons aged 60 and above**. Central contribution **Rs 200** per month for ages 60-79, **Rs 500** per month for 80 and above. States typically add their own share
- 2 **Indira Gandhi National Widow Pension Scheme (IGNWPS)** - for **BPL widows aged 40 and above**. Central contribution **Rs 300** per month for 40-79, **Rs 500** for 80 and above
- 3 **Indira Gandhi National Disability Pension Scheme (IGNDPS)** - for **BPL persons with severe or multiple disabilities, aged 18 and above**. Central contribution **Rs 300** per month for 18-79, **Rs 500** for 80 and above
- 4 **National Family Benefit Scheme (NFBS)** - a one-time **Rs 20,000** on the death of a BPL family's primary breadwinner aged 18-59
- 5 **Annapurna Scheme - 10 kg of foodgrains per month** to old-age pensioners not otherwise receiving IGNOAPS

Why these are in Module 3. They are the **social assistance** tier below the contributory schemes - non-contributory, needs-based, funded from Central and State budgets. They **complete the F3.1 architecture** by providing for those the contributory schemes and even PM-JAY cannot reach.

And note the honest reality: these amounts (Rs 200, Rs 300, Rs 500 per month) are **very modest** by any standard. They represent the current Central contribution; States typically add their own top-ups, bringing the effective pension in some States to Rs 1,000-2,000 per month. **The Central figure is a floor, not the actual payment received in most States.**

CHECK YOURSELF · SESSION 3

- 1 State PM-JAY's benefit amount, its unit and its renewal period
- 2 Under F3.1's classification, is PM-JAY insurance or assistance?
- 3 How is PM-JAY funded, and in what ratio between Centre and States?
- 4 Contrast PM-JAY with ESI as populations served
- 5 Name the three NSAP pensions with their target groups and Central contributions
- 6 Why are these modest amounts and not more?

4. Session 4 - ELI Through EPFO ★★★★★

MUST MASTER · ELI - EMPLOYMENT LINKED INCENTIVE

The scheme that runs through YOUR organisation's rails. Recall from F3.1 that this is one of the **v1.1 corrections** to Compact Module 3.

- 1 **Launched: 2024** (announced in Budget 2024-25)
- 2 **Administered by: EPFO**, through the UAN and ECR machinery
- 3 **Purpose:** to **incentivise new employment generation**, especially of first-time employees

Part A - the first-time employee incentive:

- 1 **Target:** employees taking up their **first formal job**, joining the EPF for the first time
- 2 **Benefit:** **Rs 15,000** paid in **two instalments** - at **6 months** and at **12 months** from joining
- 3 **Second instalment is CONDITIONAL** on the first-time employee completing a specified **financial literacy** requirement
- 4 **Salary cap:** **Rs 1 lakh** per month (workers earning more than Rs 1 lakh are not first-time-employee target)
- 5 **The payment is DIRECT to the employee** through the UAN linkage

Part B - the employer incentive:

- 1 **Target:** employers who hire additional employees beyond a baseline
- 2 **Benefit:** up to **Rs 3,000 per month** per additional employee, for a specified period (typically two years for manufacturing employers)
- 3 **Salary cap:** **Rs 1 lakh** per month
- 4 **Delivered through EPFO** on the UAN and ECR rails

Why the scheme runs through EPFO:

- 1 It **needs a formal-employment identifier** - and the UAN is exactly that. Every EPF member has a UAN
- 2 It **needs a verified salary and continuity record** - and the ECR is exactly that. Every EPF-remitting employer files monthly ECRs
- 3 It **needs to distinguish a first-time employee from a rejoinder** - and the UAN registration history does exactly that

So the ELI scheme is not a departure from EPFO's mandate but a natural extension of it, using the identity and contribution rails that already exist. This is worth stating in an interview: **the ELI scheme demonstrates that EPFO's infrastructure is capable of delivering government policy well beyond retirement savings**, and that is the strategic point of building such infrastructure.

Two paper points to note:

- 1 **REPORTED PARAMETERS, not Gazette-verified.** The scheme's precise operational rules have evolved since the Budget announcement, and the figures above are as stated in current government communications and in Compact Module 3 v1.1. **Treat them as SETTLED SUBSTANCE but check details before assertion.**
- 2 **The scheme is NOT the same as EPS 1995.** ELI is an incentive; EPS is a defined-benefit pension. They are on the same organisation's rails, but they answer different questions.

KNOW · CLASSIFICATION - EVERY SCHEME IN THIS CHAPTER, UNDER F3.1'S ARCHITECTURES

Scheme	Architecture	Funder
APY	Social insurance (subsidised)	Subscriber + State guarantee
PM-SYM	Social insurance (matched)	Subscriber + Central Government 50:50
NPS-Traders	Social insurance (matched)	Subscriber + Central Government 50:50
PMSBY	Social insurance (voluntary term)	Subscriber Rs 20
PMJJBY	Social insurance (voluntary term)	Subscriber Rs 436
PM-JAY	Social assistance (tax-financed)	Central + State 60:40 (higher for special States)
NSAP pensions	Social assistance (tax-financed)	Central + State budgets
Annapurna	Social assistance (in kind)	Central + State budgets
ELI	Incentive / policy transfer, not classic social security	Central Government via EPFO

Three patterns to notice:

- 1 The pension schemes are all contributory**, but with State matching or guarantee. Voluntary subsidised insurance for the middle of the informal-sector income distribution
- 2 The health schemes split by income:** ESI for wage workers with a formal employer; **PM-JAY** for the poorest tax-financed. **The middle - non-ESI wage workers earning up to Rs 15,000 or so - falls between the two**
- 3 The pure assistance tier is small** in Rupee terms (Rs 200-500 per month for NSAP pensions) and does not pretend to be adequate on its own

The single closing thought for this chapter, and the interview answer to "how would you improve the delivery": the schemes exist; the enrolment is what limits them. Every voluntary insurance product has the adverse-selection, myopia and free-riding problems from F3.1, and asking a worker to sign up when he does not currently need the benefit is exactly what those failures make hard. **The direction of policy is towards more compulsion where a measurable transaction or project can be identified (the F3.8 aggregator model), and richer schemes on top of e-Shram registration** - but the machinery is being built rather than fully operational.

ACTION · WHERE THIS LEAVES YOU, AND WHAT F3.10 DOES

You now have the complete Module 3 material: **the concept (F3.1), the parent Act (F3.2), the three schemes under it (F3.3), the machinery of EPFO and the Section 7A inquiry (F3.4), the parallel ESI regime (F3.5), the pre-ESI injury statute (F3.6), gratuity and maternity (F3.7), the unorganised-sector framework (F3.8), and the operational schemes (this chapter).** Nine chapters, and between them all nine of the ILO's contingencies are accounted for, six directly and three through workarounds.

F3.10 is the CLOSER - the **Code on Social Security 2020** as a consolidated whole, and the **Master Numbers Table** for the whole module. It maps every provision you have learned onto its place in the Code, states clearly what changed and what did not, and provides one page of numbers to hold in the last week of preparation before the exam.

5. Graded Practice - 42 Questions ★★★★★

5.1 Level 1 - Recognition

Q. 1. The Atal Pension Yojana was launched in

(a) 2011 (b) 2013 (c) 2015 (d) 2019

Q. 2. APY is administered by

(a) EPFO (b) ESIC (c) PFRDA (d) LIC

Q. 3. The eligibility age range for joining APY is

(a) 18 to 40 (b) 18 to 50 (c) 21 to 60 (d) 25 to 65

Q. 4. APY offers guaranteed pension at 60 in the range

(a) Rs 500 to Rs 2,000 (b) Rs 1,000 to Rs 5,000 (c) Rs 3,000 to Rs 10,000 (d) Rs 5,000 to Rs 15,000

Q. 5. Pradhan Mantri Shram Yogi Maan-Dhan was launched in

(a) 2015 (b) 2017 (c) 2019 (d) 2022

Q. 6. PM-SYM is administered by

(a) EPFO (b) ESIC (c) PFRDA (d) LIC

Q. 7. The income eligibility for PM-SYM is a monthly income of up to

(a) Rs 10,000 (b) Rs 15,000 (c) Rs 21,000 (d) Rs 25,000

Q. 8. The fixed pension at 60 under PM-SYM is

(a) Rs 1,000 (b) Rs 2,000 (c) Rs 3,000 (d) Rs 5,000

Q. 9. The State-subscriber matching ratio in PM-SYM is

(a) 25:75 (b) 33:67 (c) 50:50 (d) 100:0

Q. 10. The annual turnover limit for NPS-Traders is

(a) Rs 20 lakh (b) Rs 50 lakh (c) Rs 1 crore (d) Rs 1.5 crore

Q. 11. The annual premium for PMSBY is

(a) Rs 12 (b) Rs 20 (c) Rs 50 (d) Rs 100

Q. 12. The sum assured under PMSBY on death or permanent total disablement from accident is

(a) Rs 1 lakh (b) Rs 2 lakh (c) Rs 3 lakh (d) Rs 5 lakh

Q. 13. The eligibility age range for PMSBY is

(a) 18 to 50 (b) 18 to 60 (c) 18 to 70 (d) 21 to 65

Q. 14. The annual premium for PMJJBY (current) is

(a) Rs 200 (b) Rs 330 (c) Rs 436 (d) Rs 500

Q. 15. The sum assured under PMJJBY on death from any cause is

(a) Rs 1 lakh (b) Rs 2 lakh (c) Rs 3 lakh (d) Rs 5 lakh

Q. 16. The eligibility age range for PMJJBY is

(a) 18 to 40 (b) 18 to 50 (c) 18 to 60 (d) 18 to 70

Q. 17. PM-JAY provides annual family cover of

(a) Rs 2 lakh (b) Rs 3 lakh (c) Rs 5 lakh (d) Rs 10 lakh

Q. 18. The Centre-State funding ratio for PM-JAY (ordinary States) is

(a) 100:0 (b) 90:10 (c) 60:40 (d) 50:50

5.2 Level 2 - Understanding

Q. 19. APY was closed to new joiners from 1 October 2022 for

(a) all first-time employees (b) all women (c) income-tax payers (d) subscribers above 30

Q. 20. The Government's co-contribution to APY (for pre-31 March 2016 joiners) was

(a) Rs 500 per year for 5 years (b) 50% of subscriber's contribution or Rs 1,000 per year (whichever lower) for 5 years (c) 100% of subscriber's contribution for 10 years (d) a one-time Rs 15,000

Q. 21. Which one of the following is correct about NPS-Traders?

(a) It is the general pension scheme for all Government employees (b) It is a subsidised pension scheme for small traders with turnover up to Rs 1.5 crore, on 50:50 matching, offering Rs 3,000 pension at 60 (c) It is administered by ESIC (d) It has 5 pension tiers like APY

Q. 22. The reason PMJJBY's premium is roughly 22 times PMSBY's is that

(a) PMJJBY covers 22 people (b) death from all causes is far more probable than death from accident, so a life policy costs a multiple of an accident-only policy for the same sum assured (c) PMJJBY is administered by a private insurer (d) PMSBY is subsidised by the State

Q. 23. In PMJJBY, the "lien period" of 45 days means that

(a) the subscriber cannot claim within 45 days of premium payment (b) death from causes OTHER THAN accident is covered only after 45 days from enrolment; accidents are covered from day one (c) the subscriber must be in the scheme for 45 days before joining PMSBY (d) accident claims are paid 45 days late

Q. 24. Under the F3.1 taxonomy, PM-JAY is best classified as

(a) social insurance, because it is targeted (b) social assistance, because it is tax-financed with no premium from beneficiaries (c) a universal benefit, because everyone qualifies (d) employer liability

Q. 25. PM-JAY and ESI serve

(a) the same population (b) different populations - ESI covers wage workers with a formal employer, PM-JAY targets the poorest 40% identified by the SECC (c) only workers in ESI-notified areas (d) only Central Government employees

Q. 26. The IGNOAPS pension amount from the Centre for a person aged 60 to 79 is

(a) Rs 100 per month (b) Rs 200 per month (c) Rs 500 per month (d) Rs 1,000 per month

Q. 27. The IGNOAPS pension for those aged 80 and above from the Centre is

(a) Rs 200 per month (b) Rs 300 per month (c) Rs 500 per month (d) Rs 1,000 per month

Q. 28. The National Family Benefit Scheme provides

(a) monthly food support (b) a one-time Rs 20,000 on death of a BPL family's breadwinner aged 18-59 (c) Rs 500 per month for children (d) subsidised loans

Q. 29. The Employment Linked Incentive scheme is administered by

(a) NITI Aayog (b) EPFO, using the UAN and ECR machinery (c) ESIC (d) PFRDA

Q. 30. The Part A benefit under the ELI scheme for a first-time employee is

(a) Rs 30,000 in a lump sum (b) Rs 15,000 in two instalments at 6 months and 12 months, with the second conditional on financial literacy (c) Rs 5,000 monthly for a year (d) Rs 1 lakh at the end of 5 years

Q. 31. The salary cap for ELI benefit is

(a) Rs 15,000 per month (b) Rs 25,000 per month (c) Rs 50,000 per month (d) Rs 1 lakh per month

Q. 32. Under the F3.1 architectures, the schemes in this chapter split as

(a) all social insurance (b) all social assistance (c) pension and low-premium insurance schemes are social insurance (subsidised); PM-JAY and NSAP pensions are social assistance; ELI is a policy transfer (d) all universal benefits

5.3 Level 3 - Recruitment Test standard**Q. 33. Match List-I with List-II and select the correct answer using the code below:**

List-I (Scheme)	List-II (Feature)
A. APY	1. Health assurance of Rs 5 lakh per family per year
B. PM-SYM	2. Guaranteed pension of Rs 1,000 to Rs 5,000, 5 tiers
C. PMJJBY	3. Rs 3,000 pension at 60, 50:50 matching, income up to Rs 15,000
D. PM-JAY	4. Life cover of Rs 2 lakh for Rs 436 a year

(a) A-2 B-3 C-4 D-1 (b) A-3 B-2 C-4 D-1 (c) A-2 B-4 C-3 D-1 (d) A-2 B-3 C-1 D-4

Q. 34. Consider the following statements:

- 1 APY and PM-SYM are both administered by LIC.
- 2 APY offers 5 pension tiers; PM-SYM offers a single fixed tier of Rs 3,000.
- 3 Both have an eligibility age of 18 to 40.

Which of the above statements are correct?

(a) 1 and 2 only (b) 2 and 3 only (c) 1 and 3 only (d) 1, 2 and 3

Q. 35. Consider the following statements about PMSBY and PMJJBY:

- 1 PMSBY covers death or permanent disablement due to accident only; PMJJBY covers death from any cause.
- 2 PMSBY's age range extends to 70; PMJJBY's stops at 50.
- 3 Both provide Rs 2 lakh sum assured.

Which of the above statements are correct?

(a) 1 and 2 only (b) 2 and 3 only (c) 1 and 3 only (d) 1, 2 and 3

Q. 36. Which one of the following statements is not correct?

(a) PM-JAY covers the poorest ~40 per cent of the population identified by the SECC (b) PM-JAY is funded 100 per cent by the Centre in all States (c) PM-JAY is health assurance, not health insurance in the contributory sense (d) PM-JAY covers hospitalisation up to Rs 5 lakh per family per year

Q. 37. A worker aged 30 with a monthly income of Rs 12,000 in the unorganised sector wishing to secure a pension at 60 and life and accident cover has as his most complete FLOOR of social security

(a) EPS 1995 (b) APY or PM-SYM for pension, plus PMJJBY and PMSBY for insurance (c) NPS-Traders and PM-JAY (d) NSAP alone

Q. 38. Consider the following statements about the ELI scheme:

- 1 It is a Budget-2024 measure to incentivise formal employment generation.
- 2 It is administered by EPFO, using the UAN and ECR rails.
- 3 Part A pays Rs 15,000 to a first-time employee in two instalments at 6 and 12 months, with the second conditional on financial literacy.

Which of the above statements are correct?

(a) 1 and 2 only (b) 2 and 3 only (c) 1 and 3 only (d) 1, 2 and 3

Q. 39. The pension schemes for unorganised workers offer the following pension amounts at 60. Match them:

Scheme	Pension at 60
A. APY (highest tier)	1. Rs 3,000
B. PM-SYM	2. Rs 5,000
C. NPS-Traders	3. Formula-based, up to Rs 7,500 at ceiling
D. EPS 1995 (max ordinary)	4. Rs 3,000

(a) A-2 B-1 C-4 D-3 (b) A-1 B-2 C-4 D-3 (c) A-3 B-1 C-4 D-2 (d) A-2 B-4 C-1 D-3

Q. 40. The reason voluntary schemes like APY, PM-SYM, PMJJBY and PMSBY have consistently under-enrolled compared to their target populations is

(a) unconstitutionality (b) precisely the F3.1 problems of adverse selection, myopia and free-riding that afflict any voluntary insurance market (c) legal complexity (d) lack of banking infrastructure

Q. 41. The direction of Indian social security policy going forward is best summarised as

(a) full abandonment of the contributory model (b) a shift from voluntary to compulsory contributory schemes wherever a measurable transaction or project can be identified, with richer schemes on top of e-Shram registration (c) full replacement by universal basic income (d) purely State-level administration

Q. 42. The three NSAP pensions (old age, widow, disability) are together an example of

(a) social insurance funded by contributions (b) tax-financed social assistance for the poorest (c) universal benefits (d) employer liability

6. Answers and Explanations

6.1 Level 1

Q	Ans	Explanation
1	c	2015 - the same year as PMSBY and PMJJBY
2	c	PFRDA - Pension Fund Regulatory and Development Authority

Q	Ans	Explanation
3	a	18 to 40
4	b	Rs 1,000 to Rs 5,000 , 5 tiers
5	c	2019
6	d	LIC
7	b	Rs 15,000 per month - same as EPF ceiling
8	c	Rs 3,000 - single fixed tier
9	c	50:50 - subscriber and Central Government
10	d	Rs 1.5 crore
11	b	Rs 20 - the cheapest insurance product
12	b	Rs 2 lakh
13	c	18 to 70 - higher than PMJJBY
14	c	Rs 436 - raised from Rs 330 in 2022
15	b	Rs 2 lakh
16	b	18 to 50 - lower than PMSBY's 70
17	c	Rs 5 lakh per family per year
18	c	60:40 for ordinary States

6.2 Level 2

Q	Ans	Explanation
19	c	Income-tax payers - the scheme is targeted at non-taxpayers
20	b	50% of subscriber's contribution or Rs 1,000, whichever lower, for 5 years - the pre-31 March 2016 window
21	b	The complete definition - subsidised, 50:50 matching, Rs 3,000 fixed pension, turnover cap Rs 1.5 crore. NOT the general NPS
22	b	Death from all causes >> death from accident , so the premium ratio matches the risk ratio - basic actuarial pricing
23	b	Death from causes other than accident is covered only after 45 days from enrolment; accidents from day one. The lien period exists to prevent adverse selection from moribund persons
24	b	Social assistance - tax-financed, no premium from beneficiary. India's largest Beveridge-shaped programme, despite being targeted rather than universal
25	b	Different populations - ESI's wage-worker cohort typically has a formal job, while PM-JAY's cohort is identified by SECC deprivation. They rarely overlap
26	b	Rs 200 per month for ages 60-79
27	c	Rs 500 per month for 80 and above
28	b	One-time Rs 20,000 on death of the primary breadwinner aged 18-59
29	b	EPFO , using its UAN and ECR machinery - a natural extension of its infrastructure
30	b	Rs 15,000 in two instalments at 6 and 12 months, with the second conditional on financial literacy

Q	Ans	Explanation
31	d	Rs 1 lakh per month
32	c	The three-way split under F3.1's architectures - pension/insurance schemes are subsidised social insurance; PM-JAY and NSAP are social assistance; ELI is a policy transfer that does not fit classic social security

6.3 Level 3

Q	Ans	Explanation
33	a	A-2 APY 5 pension tiers; B-3 PM-SYM Rs 3,000 at 60 with 50:50 matching; C-4 PMJJBY Rs 2 lakh life for Rs 436; D-1 PM-JAY Rs 5 lakh per family per year
34	b	2 and 3 only. Statement 1 is wrong: APY is administered by PFRDA , not LIC. PM-SYM (and NPS-Traders) is by LIC
35	d	All three correct. PMSBY is accident-only, PMJJBY is any-cause; PMSBY age 18-70, PMJJBY 18-50; both have Rs 2 lakh sum assured
36	b	(b) is false. PM-JAY is funded 60:40 by Centre and States (ordinary States) , 90:10 for special-category States, 100 per cent by the Centre only for Union Territories without a legislature
37	b	APY or PM-SYM for pension (both target this income group; PM-SYM's Rs 15,000 income cap fits perfectly), plus PMJJBY (Rs 436, life) and PMSBY (Rs 20, accident) for insurance - a floor of protection at manageable cost. NOT EPS 1995 because he has no formal employer
38	d	All three correct - the full ELI Part A description as stated in Budget 2024-25 and adopted in Compact Module 3 v1.1 (reported not Gazette-verified)
39	a	A-2 APY highest tier Rs 5,000; B-1 PM-SYM Rs 3,000; C-4 NPS-Traders Rs 3,000; D-3 EPS max ordinary pension around Rs 7,500 on the formula at the wage ceiling
40	b	F3.1's classic voluntary-insurance failures - and they are exactly why the direction of policy is towards compulsion where a measurable base can be identified
41	b	Compulsory contributory wherever a measurable transaction or project can be identified , with richer schemes on top of e-Shram registration. This is the F3.8 aggregator model, extended
42	b	Tax-financed social assistance - the third rail of F3.1's classification, below the contributory schemes and PM-JAY

7. One-Minute Revision

ONE-MINUTE REVISION · CHAPTER F3.9 - PENSION AND WELFARE SCHEMES

WHAT THE SCHEMES DELIVER two pensions (APY, PM-SYM) for contingency 4 old age · two very cheap insurance products (PMSBY, PMJJBY) for contingencies 5/8/9 · one flagship health assurance (PM-JAY) for contingency 1 · one incentive scheme through EPFO (ELI) · all on the F3.1

social-insurance-or-assistance rails, all VOLUNTARY (except PM-JAY and NSAP), all modest in scale

APY - ATAL PENSION YOJANA

- 1 **2015**, administered by **PFRDA**, ages **18-40**
- 2 5-tier pension: **Rs 1,000 / 2,000 / 3,000 / 4,000 / 5,000** at 60
- 3 **Income-tax payers INELIGIBLE from 1 October 2022**
- 4 Old Government co-contribution window (2016) - CLOSED

- 5 **Subscriber-borne contributions with State guarantee**

PM-SYM - PRADHAN MANTRI SHRAM YOGI MAAN-DHAN

- 1 **2019**, administered by **LIC**, ages **18-40**
- 2 **Income eligibility: monthly income up to Rs 15,000** (same as EPF ceiling)
- 3 **50:50 matching** subscriber and Central Government
- 4 **Rs 3,000 pension at 60**, single tier
- 5 Contribution range Rs 55 (age 18) to Rs 200 (age 40) subscriber's side

COMPARISON APY subscriber-borne, State guarantee, 5 tiers Rs 1K-5K · PM-SYM 50:50 matching, single Rs 3,000 tier · both PFRDA/LIC not EPFO

NPS-TRADERS

- 1 **2019**, administered by **LIC**, ages **18-40**
- 2 **Turnover eligibility: up to Rs 1.5 crore**
- 3 **50:50 matching, Rs 3,000 pension at 60** - same design as PM-SYM but different eligibility test
- 4 **Do NOT confuse with the general NPS** (National Pension System, for Government employees since 2004)

PMSBY - PRADHAN MANTRI SURAKSHA BIMA YOJANA

- 1 **2015**, ACCIDENT insurance only
- 2 **Rs 20** annual premium, ages **18-70**
- 3 **Rs 2 lakh** for death or PTD from accident, **Rs 1 lakh** for PPD
- 4 Auto-debited from bank account, annual renewable
- 5 Age range extends to 70 because accident risk does not rise with age like all-cause mortality

PMJJBY - PRADHAN MANTRI JEEVAN JYOTI BIMA YOJANA

- 1 **2015**, LIFE insurance any cause
- 2 **Rs 436** annual premium (raised from Rs 330 in 2022), ages **18-50**
- 3 **Rs 2 lakh** on death from any cause
- 4 **Lien period: 45 days from enrolment for non-accident deaths; accidents covered from day one**
- 5 Ages stop at 50 because mortality risk after that pushes premium up sharply

THE PMSBY-PMJJBY PAIR premium ratio 20 : 436 ≈ 1 : 22 because **all-cause mortality >> accident mortality** - basic actuarial pricing · both together Rs 4 lakh for Rs 456 a year - the floor of an unorganised household's insurance stack

PM-JAY - PRADHAN MANTRI JAN AROGYA YOJANA (Ayushman Bharat)

- 1 **2018, HEALTH ASSURANCE** not insurance
 - 2 **Rs 5 LAKH per family per year** for hospitalisation
 - 3 Eligibility: **SECC-2011 deprivation criteria, ~40% of population, ~10-12 crore families**
 - 4 **Cashless and paperless** at empanelled hospitals
 - 5 **Funding: 60:40 Centre-State ordinary States, 90:10 special States, 100% UTs without legislature**
 - 6 **UNDER F3.1 THIS IS SOCIAL ASSISTANCE, NOT SOCIAL INSURANCE** - the largest Beveridge-shaped programme in India
 - 7 Complements ESI (which serves formal-employer wage workers), does not overlap
- NSAP - NATIONAL SOCIAL ASSISTANCE PROGRAMME (the assistance tier)**
- 1 **IGNOAPS old age**: Central **Rs 200** at 60-79, **Rs 500** at 80+
 - 2 **IGNWPS widow**: Central **Rs 300** at 40-79, **Rs 500** at 80+
 - 3 **IGNDPS disability**: Central **Rs 300** at 18-79, **Rs 500** at 80+
 - 4 **NFBS - one-time Rs 20,000** on death of BPL breadwinner aged 18-59
 - 5 **Annapurna - 10 kg foodgrains** for old-age pensioners not on IGNOAPS
 - 6 **States add their own share - these are Central minimums, not the total pension paid**
- ELI - EMPLOYMENT LINKED INCENTIVE**
- 1 Budget **2024**, administered through **EPFO's UAN and ECR machinery**
 - 2 **PART A (first-time employee)**: **Rs 15,000 in TWO INSTALMENTS at 6 and 12 months**, second conditional on **financial literacy**, salary cap **Rs 1 lakh**
 - 3 **PART B (employer)**: up to **Rs 3,000/month** per additional employee, salary cap **Rs 1 lakh**
 - 4 **REPORTED PARAMETERS, not Gazette-verified**
 - 5 Demonstrates EPFO's infrastructure can deliver policy well beyond retirement savings
- CLASSIFICATION UNDER F3.1**
- 1 **Social insurance (voluntary/subsidised)**: APY, PM-SYM, NPS-Traders, PMSBY, PMJJBY
 - 2 **Social assistance (tax-financed)**: **PM-JAY, NSAP pensions, Annapurna**
 - 3 **Policy transfer / incentive**: ELI
 - 4 NO universal benefits in strict F3.1 sense
- THREE PATTERNS**
- 1 Pension schemes are all contributory but with State matching or guarantee
 - 2 Health splits by income: ESI for formal-employer wage workers, PM-JAY for the poorest; the middle falls between
 - 3 The pure assistance tier is small in Rupee terms (Rs 200-500/month) - a floor, not a ceiling
- HONEST ASSESSMENT** the schemes exist, the enrolment is what limits them · voluntary insurance's classic F3.1 problems (adverse selection, myopia, free-riding) explain the enrolment gap · the direction: **compulsory contributory wherever a measurable transaction or project can be identified**, richer schemes on top of e-Shram registration · F3.8's aggregator model, extended

8. Five-Minute Wall Sheet

FIVE-MINUTE WALL SHEET · CHAPTER F3.9 - SCHEMES

APY: PFRDA · 18-40 · 5 tiers Rs 1K-5K at 60 · IT payers OUT from 1 Oct 2022

PM-SYM: LIC · 18-40 · income $\leq$ Rs 15,000 · 50:50 · Rs 3,000 at 60

NPS-Traders: LIC · 18-40 · turnover $\leq$ Rs 1.5 crore · 50:50 · Rs 3,000 at 60

Do NOT confuse NPS-Traders with the general NPS (Govt employees since 2004)

PMSBY: Rs 20 · 18-70 · Rs 2 LAKH accident · Rs 1 lakh PPD

PMJJBY: Rs 436 · 18-50 · Rs 2 LAKH any cause · lien 45 DAYS (accidents from day 1)

Ratio 20:436 = 1:22 reflects all-cause vs accident mortality

Both together = Rs 4 lakh cover for Rs 456 a year

PM-JAY: 2018 · Rs 5 LAKH per family per year · hospitalisation · SECC bottom ~40%

PM-JAY funding 60:40 (ordinary) · 90:10 (special) · 100% (UT no legislature)

PM-JAY = HEALTH ASSURANCE = SOCIAL ASSISTANCE (Beveridge-shaped in India's Bismarck system)

NSAP IGNOAPS: Rs 200 (60-79) · Rs 500 (80+)

NSAP IGNWPS widow: Rs 300 (40-79) · Rs 500 (80+)

NSAP IGNDPS disability: Rs 300 (18-79) · Rs 500 (80+)

NFBS: one-time Rs 20,000 on breadwinner death (18-59)

Annapurna: 10 kg foodgrains for non-IGNOAPS old

ELI: Budget 2024 · through EPFO UAN/ECR

Part A: Rs 15,000 in 2 instalments (6+12 months), 2nd conditional on financial literacy · cap Rs 1 lakh

Part B: Rs 3,000/month per additional employee · cap Rs 1 lakh

PATTERN: contributory + State subsidy/matching = social insurance

PM-JAY, NSAP = social assistance · ELI = policy transfer

LIMITATION: voluntary schemes suffer F3.1 adverse selection, myopia, free-riding

DIRECTION: compulsory contributory wherever measurable transaction/project exists